First, 7.5 per cent is the credit spread banks charge for the risk of default, and would not be significantly lower if we cut the policy rate (at 6.5 per cent today) by another 100 basis points. Second, the inflation that matters to the industrialist is not the 0.5 per cent at which their output prices are inflating, but the 4 per cent at which their profits are inflating (because costs are falling at 5 per cent annually). The real risk-free interest rate they experience is 2.5 per cent, a little higher than elsewhere in the world, but not the most significant factor standing in the way of investment. It would be far more effective for borrowers to bring down their rates by improving their repayment behaviour and thus bringing down the credit risk premium than to try and push the RBI to lower rates unduly.

The policy rate in effect plays a balancing act. As important as real borrowing rates are for the manufacturer, real deposit rates are for the saver. In the last decade, savers have experienced negative real rates over extended periods as the CPI has exceeded deposit interest rates. This means that whatever interest they get has been more than wiped out by the erosion in their principal's purchasing power due to inflation. Savers intuitively understand this, and had been shifting to investing in real assets like gold and real estate, and away from financial assets like deposits. This meant that India needed to borrow from abroad to fund investment, which led to a growing unsustainable current account deficit.

In recent years, as we fought against inflation, we cut the policy rate only when we thought depositors could expect a reasonable positive real return on their financial savings. This has helped increase household financial savings relative to their savings in real assets, and helped bring down the current account deficit. At the same time, I do get a lot of heart-rending letters from pensioners complaining about the cut in deposit rates. The truth is they are better off now than in the